BRIEFING NOTE

Why Culture and Experience Eats Process for Breakfast

Age, experience and the cultures that turn difference into performance

Themis Professional Services | September 2026

The argument in short

It is an odd thing for a finance director to argue that process is not the differentiator. Process is most of what finance people are hired to build: controls, reporting cycles, forecasting discipline, approval limits, month-end. Get those wrong and nothing else you do will save the business.

But process is the floor, not the ceiling. It is also, in almost every case, copyable. A competitor can buy the same ERP system, engage the same advisers, adopt the same framework and hire people out of the same firms. Within a year or two they can have a control environment indistinguishable from yours.

What they cannot copy is how people in your business behave when nobody is checking. Whether a twenty-four-year-old will challenge a fifty-eight-year-old in a meeting, and whether the fifty-eight-year-old will change their mind. Whether bad news travels upward quickly or slowly. Whether the best idea wins or the most senior one does.

> **Process is what stops a business failing. Culture is what makes it win. Confusing the two, in either direction, is expensive.**

This note sets out the evidence for that claim, looks specifically at what happens when young founders and experienced operators are combined, and is honest about where the research is weaker than the usual commentary suggests. The short version of that honesty: mixing ages does not improve performance by itself. It improves performance only where the culture converts the difference into something useful. That is precisely the point.

Figure 1 — Process is uniform and reproducible. Culture is varied, connected and specific to one business.

1. Culture is a measurable financial variable

The phrase usually attributed to Peter Drucker — that culture eats strategy for breakfast — has become common enough to sound like a platitude. The underlying evidence is not a platitude.

The long-run study

Kotter and Heskett's study at Harvard Business School examined more than 200 companies across 22 industries over an eleven-year period to 1990. Firms whose cultures emphasised all key constituencies — customers, shareholders and employees — and encouraged leadership at every level, outperformed those without those traits by a wide margin: revenue growth averaging 682% against 166%, workforce growth of 282% against 36%, share price growth of 901% against 74%, and net income growth of 756% against 1%.

Those figures are widely quoted and worth two caveats that rarely accompany them. The data ends in 1990, so it describes a different economy. And a study of this design cannot fully separate cause from effect — successful firms can afford better cultures, as well as the reverse. The finding is directionally powerful rather than conclusive.

The modern evidence base

Gallup's Q12 meta-analysis is the larger and more current body of work: an ongoing study covering 183,806 business units across 53 industries and 90 countries, comparing teams in the top quartile of employee engagement with those in the bottom quartile.

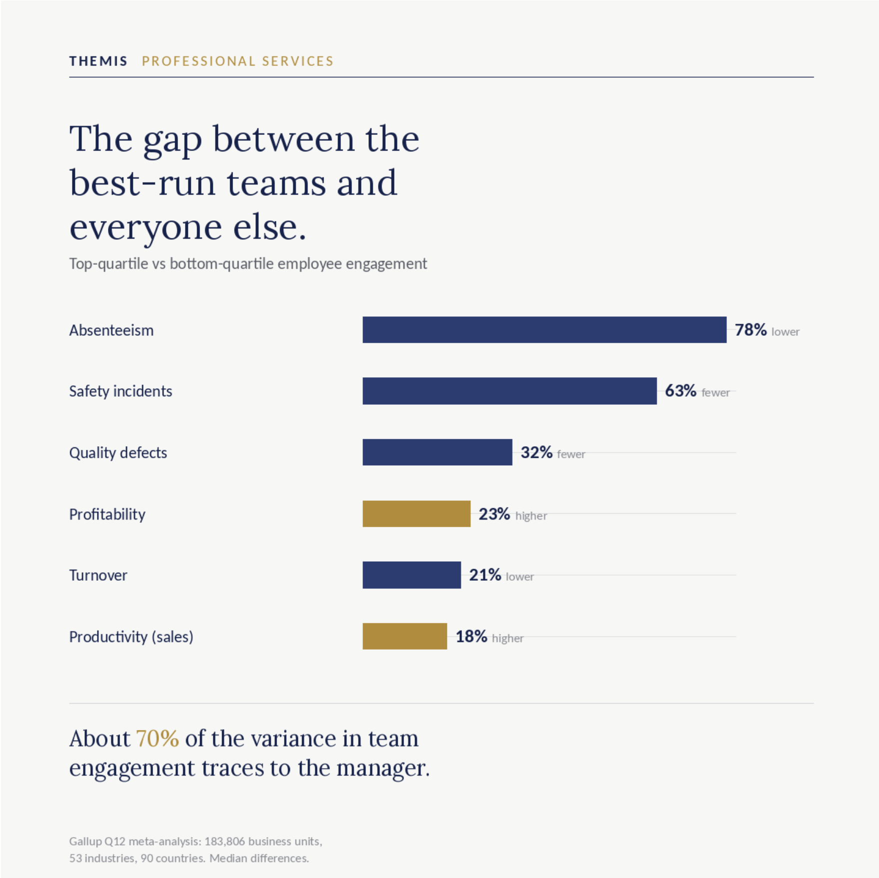

Figure 2 — Median differences between top-quartile and bottom-quartile business units, Gallup Q12 meta-analysis.

The same study records two further differences not shown above: turnover is 51% lower in low-turnover organisations, and employee wellbeing is 70% higher.

Two of those numbers matter more than the rest for an owner-managed business. A 78% swing in absenteeism and a 21% to 51% swing in turnover are not soft outcomes; they appear directly in EBITDA, in recruitment cost and in the quality of delivery to customers.

The most useful single finding, though, is about where engagement comes from. Gallup attributes roughly 70% of the variance in team engagement to the quality of the manager. Culture is not created by a values statement or an away-day. It is created, or destroyed, by what individual managers do on ordinary Tuesdays.

For context on the size of the prize: Gallup's recent global figures put employee engagement at around 20% to 23%, with the cost of disengagement estimated at some $8.8 to $10 trillion in lost productivity, roughly 9% of global GDP. Most organisations are competing against a very low bar.

2. The founder-age myth

The dominant story about high-growth business is a young one: the university dropout, the garage, the twenty-three-year-old chief executive. It is a story that shapes who gets funded, who gets promoted and who quietly concludes they are too old to start something.

It is also, on the evidence, wrong.

Azoulay, Jones, Kim and Miranda linked US Census Bureau business data with IRS ownership records to study 2.7 million people who founded businesses between 2007 and 2014 and went on to employ at least one person. Their finding is unambiguous: successful entrepreneurs are middle-aged, not young. Crucially, founder age rises the further into the top tail of growth you look.

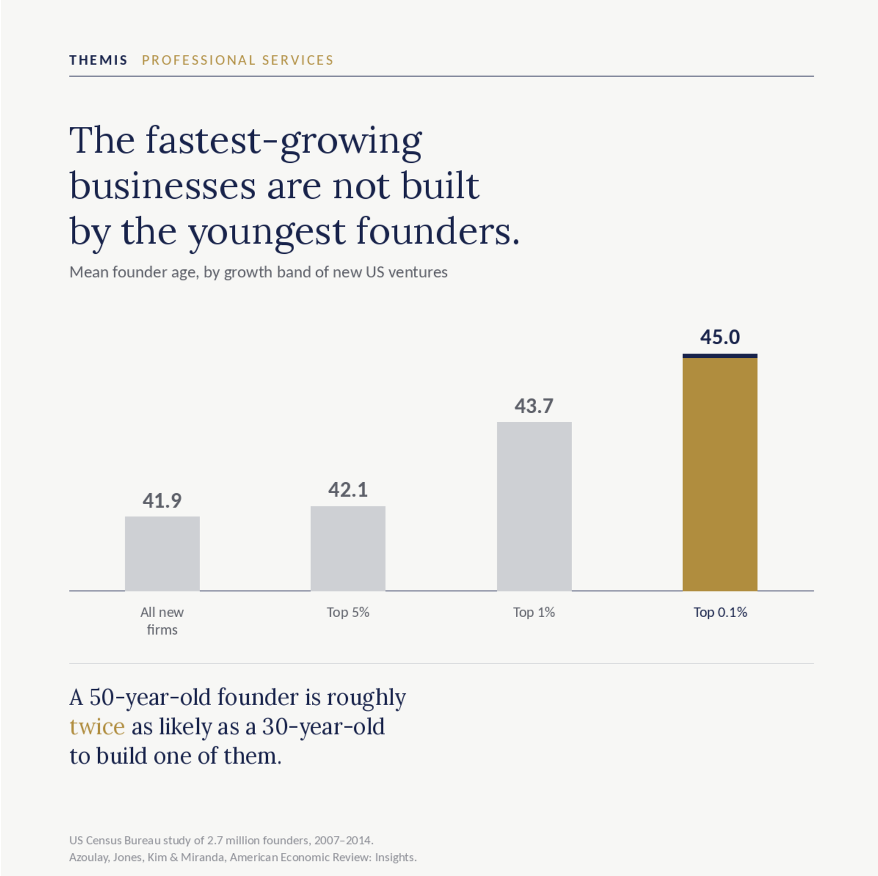

Figure 3 — Mean founder age by growth band, from 'Age and High-Growth Entrepreneurship', American Economic Review: Insights.

Firms achieving a successful exit had a higher mean founder age still, at 46.7. By sector, the mean was 43.2 in high technology, 42 among venture-backed firms and 45 among patent-holding firms.

The authors estimate that a 50-year-old founder is roughly 1.8 times as likely as a 30-year-old to create a top 0.1% growth firm — described in the published version as approximately twice as likely. They found no evidence that founders in their twenties are especially likely to succeed.

The mechanism they identify is not age itself. It is accumulated, specific knowledge: prior experience in the same industry predicts substantially higher rates of entrepreneurial success. What looks like an advantage of age is really an advantage of having seen the problem before.

> **The garage prodigy is not imaginary. But once you look past a small gallery of famous technology companies to millions of real founders, exceptional growth correlates with middle age, not youth.**

3. Where the young founder story is right

None of which makes youth a liability. Some of the most valuable businesses of the last twenty-five years were started by people in their teens and twenties, and the pattern in the strongest of them is consistent: the young founder brought something the experienced operator could not, and then deliberately went and found the experience they lacked.

Business	The young founder	The experienced hand
Gymshark	Ben Francis, founded 2012 aged 19; stepped down as CEO at 23; returned as CEO at 29	Paul Richardson, executive chairman from 2015, 33 years his senior; Steve Hewitt, former Reebok director, as CEO
Revolut	Nik Storonsky, founded 2015 aged 31	Martin Gilbert, chairman from January 2020 aged 64; chartered accountant, co-founded Aberdeen Asset Management and led it 34

Business	The young founder	The experienced hand
		years
Alphabet / Google	Larry Page and Sergey Brin, founded 1998 in their mid-twenties	Eric Schmidt as CEO from 2001; Ruth Porat as CFO from 2015 after 27 years at Morgan Stanley
Stripe	Patrick and John Collison, founded 2010 aged 21 and 19	Dhivya Suryadevara, CFO 2020–2024, hired from General Motors where she was CFO of a business with $137bn revenue

Gymshark

Ben Francis started Gymshark in 2012 at nineteen, screen-printing and sewing garments in a garage in the West Midlands while studying at Aston University and delivering pizzas to fund it. The instinct that built the brand — giving free product to fitness YouTubers at an expo, building a community rather than buying advertising — is not an instinct a fifty-five-year-old retail executive would have had.

What happened next is the more instructive part. In 2015 and 2016, with revenue around £4.5 million and the business straining under its own growth, Francis brought in Paul Richardson as executive chairman and Steve Hewitt, a former Reebok director, as chief executive. Richardson, born in 1959, was thirty-three years his senior — a serial entrepreneur who had built and sold a waste management business and helped rescue AllSaints from administration. Francis stepped down as CEO at twenty-three, following honest 360-degree feedback from his own leadership team.

Francis has since described the lesson plainly: he had to bring in people better than him at things he was not good at, curb his ego, and spend the time developing his weaknesses. Within roughly three years, sales had passed £100 million and pre-tax profits reached £18 million. In 2020 General Atlantic took a 21% stake at a valuation above £1 billion — only the second UK business to reach unicorn status with no prior external funding. Francis returned as chief executive in August 2021 at twenty-nine. Revenue reached £646 million in 2025.

The decision to step down was not a governance requirement. No process compelled it. It was a cultural act — a founder concluding, in public and at some cost to his ego, that the business mattered more than his title.

Revolut

Nik Storonsky, born in 1984, founded Revolut in 2015 after a career trading derivatives at Lehman Brothers and Credit Suisse. In January 2020 the company appointed its first chairman: Martin Gilbert, born in 1955, then sixty-four. Gilbert holds an MA in accountancy, qualified as a chartered accountant with Deloitte, co-founded Aberdeen Asset Management in 1983 and led it for thirty-four years through to its merger with Standard Life. He had chaired the Prudential Regulation Authority's Practitioner Panel — precisely the regulatory terrain a fintech seeking a banking licence was about to cross.

Storonsky's stated reasoning at the time was that scaling globally required a senior team with "a blend of forward-thinking creativity and experience." The company was granted a UK banking licence, with restrictions, in July 2024. For the 2025 financial year Revolut reported revenue of £4.52 billion, net income of £1.3 billion and around 12,200 employees. Michael Sherwood, formerly vice chairman and co-chief executive of Goldman Sachs International, also sits on the board as a non-executive director.

This is the clearest example of the finance-specific version of the pattern: a twenty-nine-year age gap, where the older party's value was not general wisdom but a precise, hard-won understanding of regulators, capital and governance that no amount of energy substitutes for.

Alphabet and Stripe

Google's founders, Larry Page and Sergey Brin, were in their mid-twenties in 1998 and brought in Eric Schmidt as chief executive in 2001 in an arrangement widely described at the time as adult supervision. The finance version came later: Ruth Porat joined as chief financial officer in May 2015 after twenty-seven years at Morgan Stanley, where she had been CFO through the post-crisis restructuring and had advised the US Treasury on Fannie Mae, Freddie Mac and AIG. She was credited with imposing discipline on spending across Alphabet's speculative Other Bets, served as CFO until mid-2024 and is now President and Chief Investment Officer.

Stripe followed the same route. Patrick and John Collison founded it in 2010 at twenty-one and nineteen. In 2020 they recruited Dhivya Suryadevara as chief financial officer from General Motors — a company founded in 1908, with $137 billion of revenue and 164,000 employees against Stripe's 2,800 at the time. John Collison's public rationale was that she had run an industry-leading giant while still being energised by products that did not yet exist. She held the role until early 2024.

4. The uncomfortable finding: mixing ages is not enough

Here the commentary and the evidence part company, and it is worth being straight about it, because the gap is the whole argument of this note.

Age diversity, on its own, does not reliably improve performance.

A quantitative review of 74 studies examining age diversity against team outcomes — performance quality, financial performance, innovation and creativity, effectiveness, satisfaction and turnover — found that age diversity was reliably related to only one of them: turnover. The authors present this explicitly as counter-evidence to the many claims made for age diversity's importance.

A six-year German research programme covering more than 745 natural teams and 8,848 employees across car production, administrative work and financial services, supported by a representative survey of 2,000 workers, reached a similarly balanced conclusion: mixed-age teams show significant advantages and significant disadvantages. The researchers identified the conditions under which the advantages actually materialise:

- High task complexity — the work has to be genuinely difficult and novel enough for different perspectives to add value
- Low salience of age — age differences are present but not the thing people notice first about each other
- High appreciation of age diversity — people positively value what different generations bring, rather than tolerating it
- A positive team climate
- Low age discrimination
- Age-differentiated leadership — managers who adapt how they lead to who they are leading

A separate large-scale employer-employee panel study by Backes-Gellner and Veen reached the sharpest version of the same conclusion: increasing age diversity has a positive effect on company productivity if and only if the company engages in creative rather than routine tasks. In routine-task businesses it may actively hinder productivity.

> **Every single one of those conditions is cultural. Not one of them is a process. You can appoint an experienced non-executive tomorrow morning; that is governance. Whether anybody listens to them, and whether they listen back, is culture — and it does not appear in the board minutes.**

Figure 4 — The conditions under which mixed-age teams outperform. Each one is cultural rather than procedural.

This is why the argument is not that diversity of age is a virtue to be signalled. It is that difference is raw material. Culture is the machinery that converts it into performance, and without the machinery the raw material sits there, or actively causes friction — which is exactly what the turnover finding suggests is happening in a lot of organisations.

5. What this means for an owner-managed business

The businesses above are not SMEs. But the mechanism scales down more cleanly than most management research does, because in a smaller business the founder's behaviour is the culture — there are not enough layers for it to be anything else.

Make values behavioural, not abstract

Integrity, excellence and teamwork are not values; they are nouns that no one would argue against. A value only does work when it is specific enough to rule something out. "We tell customers about problems before they find them" is a value, because it forbids something otherwise tempting. The test of whether a stated value is real is simple: name the last time it cost the business money to honour it. If no one can, it is decoration.

Accept that the manager is the culture

If roughly 70% of the variance in engagement traces to the manager, then culture work that stops at the leadership team is missing most of the effect. In a business of forty people this usually means four or five individuals genuinely determine whether the culture is real. Promoting the best technician into a management role without preparing them is the most common way owner-managed businesses accidentally dismantle their own culture.

Buy experience in the shape you actually need

The Gymshark and Revolut examples both involved senior appointments, but the underlying need — someone who has seen this problem before — does not always require a full-time executive hire. For most SMEs, the practical options are a non-executive director, a chair, or fractional senior finance support. What matters is not the contract; it is whether the person has genuinely done the specific thing the business is about to attempt, and whether the culture will let them say something unwelcome.

Design the work so difference pays

The research is clear that age diversity pays in complex, creative work and can hinder routine work. If a business wants the benefit, it needs to be deliberate about which problems get worked on by mixed groups. Putting a twenty-five-year-old and a fifty-five-year-old on the same repetitive process may achieve nothing. Putting them together on a pricing question, a new market or a product decision is where the evidence says the value sits.

Make the exchange run both ways

The founder-and-veteran pattern is usually described as the young learning from the old. In the successful examples it runs in both directions: Francis retained control of brand and product, the areas where his instincts were better than his chairman's, while ceding operations. Reverse mentoring, where younger employees brief senior colleagues on technology, channels or customer behaviour, formalises the same idea. The cultural signal — that expertise is not a function of age — is worth more than the content transferred.

Measure it, or it is a slogan

Culture is not exempt from evidence. Engagement scores, voluntary turnover by tenure and by age band, absence rates, internal promotion rates, exit interview themes and the ratio of internal referrals to external hires are all available, all cheap to track and all leading indicators of financial performance. A finance function that reports on none of them is measuring only the lagging half of the business.

6. Where this argument gets misused

Two failure modes are worth naming, because both are common and both are expensive.

The first is using culture as an excuse for absent control. A business with strong values and weak controls is not a well-run business; it is a well-liked one waiting for an incident. Culture does not reconcile a bank account, detect a fraud, or produce a covenant certificate. The argument here is that process is necessary and insufficient — not that it is optional. A founder who resists financial discipline on the grounds that it would compromise the culture has usually misunderstood both.

The second is the gap between stated and lived values. Several high-profile founder-led businesses have had their published culture publicly contradicted by former employees, and the reputational damage has been severe precisely because the claims were loud. A business that says little about its culture and behaves well is in a far stronger position than one that does the reverse. Publishing values raises the standard you will be held to; it does not meet it.

There is also an honest limit to the evidence itself. Culture research struggles with reverse causality throughout — profitable businesses can afford to treat people well. The most defensible reading is that culture and performance reinforce each other, and that the direction of travel is easier to change early than late.

Practical checklist

1. Write down your values as behaviours that forbid something, then identify the last occasion each one cost you money.
2. Map the age and experience profile of your leadership team and your board. Note the gaps rather than congratulating yourself on the range.
3. Identify which of your problems are genuinely complex and novel, and staff those deliberately with mixed experience levels.
4. Assess whether your managers — the four or five people who actually set the tone — have been prepared for the role or simply promoted into it.

5. Decide what experience the business is missing, and buy it in the appropriate shape: non-executive, chair or fractional. Do not default to a full-time hire.
6. Establish whether the culture allows an experienced outsider to say something unwelcome, before you appoint one.
7. Put four or five culture metrics into the monthly board pack alongside the financials, and track them for long enough to see trends.
8. Ask the youngest people in the business what the leadership team is wrong about, and create a route for the answer to travel.

A note on this briefing

This note is provided for general information. The research cited is referenced below and readers are encouraged to consult the primary sources, particularly where findings are more qualified than popular summaries suggest. Company examples are drawn from public reporting and company statements as at September 2026; leadership positions and financial figures change, and readers should verify current positions before relying on them.

Sources

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Company information: Gymshark corporate history and Companies House filings, reporting by CNBC, TheBusinessDesk and Thought Economics; Revolut corporate website, FinTech Futures and Wikipedia company data; Alphabet and Morgan Stanley corporate announcements and SEC filings; Stripe newsroom, Reuters and MIT Sloan.